S&P Capital IQ PRO

Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Public

Year: Methodology Year: 2021
Question: Board Accountability
Include Modeled Scores : Yes

Board Accountability

Question

Does the company have practices to ensure the accountability of its board of directors/supervisory board and the alignment with the long-term interests of shareholders?

Rationale

An effective board of directors is vital for good corporate governance. Several studies have found that companies with specific procedures and practices designed to ensure the accountability of their board and a close alignment with shareholders' interests perform better than those that do not. We use the parameters in this question as a proxy for the overall effectiveness of the board. In addition to meeting attendance, the number of external directorships board members hold, and performance assessment, we ask for information on how board members are elected, as the frequency of election and structure of the process can affect the accountability of board members: when board members are elected individually and on an annual basis, shareholders are able to vote them off if they are concerned with their performance. If shareholders can frequently express their confidence in or concerns about board membe

Performance Summary	
Question Level Company Performance	
Question Weight	
Year-on-Year Change	
Industry Average Score	
Industry Highest Score	

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions

This question only applies to board members who represent shareholders (or multiple stakeholders including shareholders). For two-tier board structures, this question should only include the supervisory board and not the management board.

Meeting attendance: this section refers to two measures: on one hand, the actual average attendance rate for the past year, and on the other hand, if there is any corporate guideline for meeting attendance, i.e. if there is a minimum proportion of board meetings that each board member is required to attend. Both rates should be calculated on the basis of the total number of board meetings held annually.

Other mandates: refers to the number of other external directorships in publicly listed companies held by members of the board of directors/supervisory board (examples include executive board positions such as CEO, or member of the board of directors at another company). Board memberships in private limited companies, educational institutes (school, college or universities) and in non-profit organizations are not considered in our definition of other mandates. Only the number of mandates for the independent and non-executive directors should be considered, not mandates for executive directors or employee representatives. In this section, both the actual number of directors with four or fewer other mandates is considered together with any corporate guidelines on restrictions on the number of other mandates.

We consider two types of **board performance assessments:**

(1) self-assessments of the board's performance, meaning that the board members themselves are allowed to systematically evaluate their performance;

(2) independent assessments of the board's performance, meaning that an independent third party evaluates the board's performance. Such assessments are considered "regular" if the company clearly shows that there are guidelines to perform them at specific intervals (such as annually or every second year). Assessments are also considered regular if the company is carrying them out for the first time but with the explicit intention of conducting them regularly. It is considered best practice to carry out both types of assessments on a regular basis, although not necessarily annually.

Annual election of board members: refers to a procedure whereby each board member has to be re-elected at each annual general meeting for shareholders (as opposed to electing a member for multiple years). Individual election of board members refers to a procedure whereby each member is elected on an individual basis (as opposed to members being elected by slate).

References

Corporate Accountability Report **"Does Corporate Governance Matter to Investment Returns?"** by Jay W. Eisenhofer, Gregg S. Leving, ISSN 1542-9563

McKinsey Strategy & Corporate Finance "Toward a Value-Creating Board" by Conor Kehoe, Frithjof Lund, and Nina Spielmann

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
Company publicly reports on board effectiveness	Applicable
Average board meeting attendance available	YES
Average percentage of Board meetings attended by board of directors/supervisory board	97.77
Minimum attendance for board members required available	-
Percentage of minimum board meeting attendance required	Not answered
Number of non-executive/independent directors with 4 or less other mandates available	YES
Number of non-executive/independent directors with 4 or less other mandates	14
Number of other mandates for non-executive/independent directors restricted to available	-
Number of other mandates for non-executive/independent directors restricted to	Not answered
Regular self-assessment of board performance done	YES
Regular independent assessment of board performance done	-
Annual re-election of board	-
Individual election of board members (as opposed to slate)	-

Questionnaire

How does your company ensure the effectiveness of your board of directors/supervisory board and the alignment with the (long-term) interests of shareholders? Please provide **public references** for each section of the table.

1. ○

	Indicators/measures
Board Meeting Attendance Number of meetings attended in percentage last business/fiscal year.	1. ☐ Average board meeting attendance: 97.77 % of meetings of board of directors/supervisory board. 2. ☐ Minimum of attendance for all members required, at least (in %) Not answered
Board Mandates Number of other mandates of the board of directors/supervisory board members. **This only applies to non-executive and independent directors, not executive directors or employee representatives.**	1. ☐ Number of non-executive/ independent directors with 4 or less other mandates: 14 Please provide the names of these directors: 2. ☐ Number of other mandates for non-executive/ independent directors restricted to: Not answered
Board Performance Review Performance assessment of board of directors/ supervisory board members.	1. ☐ Regular self-assessment of board performance. Please specify or provide documents: 2. ☐ Regular independent assessment of board performance. Please specify or provide supporting documents:
Board Election Process	1. ☐ Board members are elected and re-elected on an annual basis 2. ☐ Board members are elected individually (as opposed to elected by slate)

2. ○
   We do not report this information
3. ○
   Not applicable. Please provide explanations in the comment box below.
4. ○
   Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.